

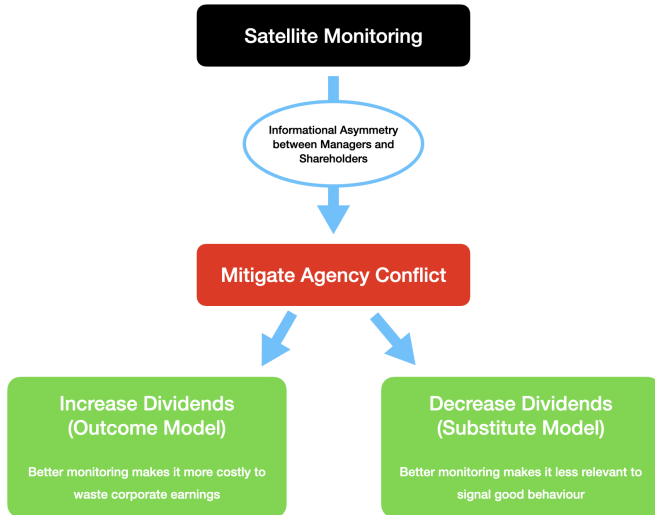
Monitoring from the Sky: Big Data and Dividend Policy

Liu, Qiu, Shu & Wang

Discussant: Philippe van der Beck¹

¹Swiss Finance Institute & EPFL

Summary



Summary

- Upon data release, retailers increase dividend payout ratio by 11 percentage points!
- Interpretation: Evidence of the "outcome model"!
 1. Big data reduces information asymmetry & mitigates agency conflicts
 2. Lower agency conflicts imply improved corporate governance
 3. Outcome model predicts a positive relationship between governance and dividends
 4. The fact that dividends increase upon data release is evidence for the outcome model

Comments

Nice paper!

- Important topic: what drives dividend policy in era of big data?
- Very mature paper, robust findings, well-written, polished empirics

This Discussion

1. Magnitudes
2. Information Release
3. Dividends versus Buybacks

Magnitudes

The estimated effects of data release are extremely large!

- Upon data release: Div. yield increases by **0.6 percentage points**
- The current div. yield of the **SP500 is 1.5%** (10y average $\approx 2\%$)

- Is informational asymmetry particularly large for retailers? If so, why?
- Or should we expect large increases in dividend payouts as more data becomes available?
- What is changing: The nominator or the denominator?

Information Release

Type of new information: Number of cars in parking lots

- Not necessarily "big data"
- Higher frequency information than quarterly earnings reports etc.
- But at lower frequency: Incremental information?
 - Outcome variable is measured at very low frequency (annual)

Information Release

What determines the release date?

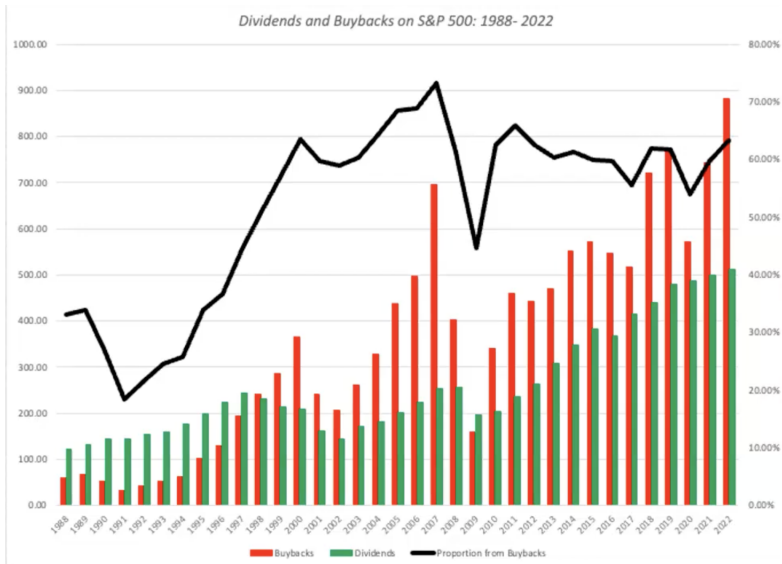
- Legal constraints
- Technical issues
- Pressure by the corporation itself

Why are vendors choosing to monitor/release in the first place?

- Demand by investors
- Demand by government entities

More clarity on these issues particularly interesting in light of alternative data sources, industries etc...

Dividends versus Buybacks



Source: Damodaran Online, 2022

Dividends versus Buybacks

Why did corporations shift towards buybacks? Two potentially important reasons...

- Dividend policies are sticky (signaling, information asymmetry)
- Uncertainty about earnings

→ Better information via big/alternative data should reduce the stickiness of dividends and decrease uncertainty about earnings. Both seem to **mitigate the negative properties** of dividend payouts.

1. Do you see less persistent dividends post data-release?
2. Will the trend towards buybacks over dividends revert with more information release?
3. Repurchase ratios increase by even more (+13%) than dividend payout ratios (+11%) upon release. Why?

Conclusion

Nice paper!

- Alternative (high frequency) data has potentially important implications for dividend policy
- Effects are economically large!

Comments

- Maybe some more interpretation on economic magnitudes
- (Verbal) intuition on which type of information is released
- Implications for other sources of big data, AI, etc.

Appendix

Dividends: Substitute or Complement of Governance

- Information release reduces information asymmetry:
→ **Pay optimal level of dividends**
- What were dividends before? Too low or too high?

Complement Hypothesis: Dividends were too low

- Dividends are a *complement* of effective governance
- Information asymmetry: If governance not effective, pay too little dividends and waste retained earnings
- **Information Release:** Move to optimum by paying higher dividends

Substitute Hypothesis: Dividends were too high

- Dividends are a *substitute* of effective governance
- Information asymmetry: If governance not effective, pay dividends that are too high as signal for not wasting earnings
- **Information Release:** Move to optimum by paying lower dividends